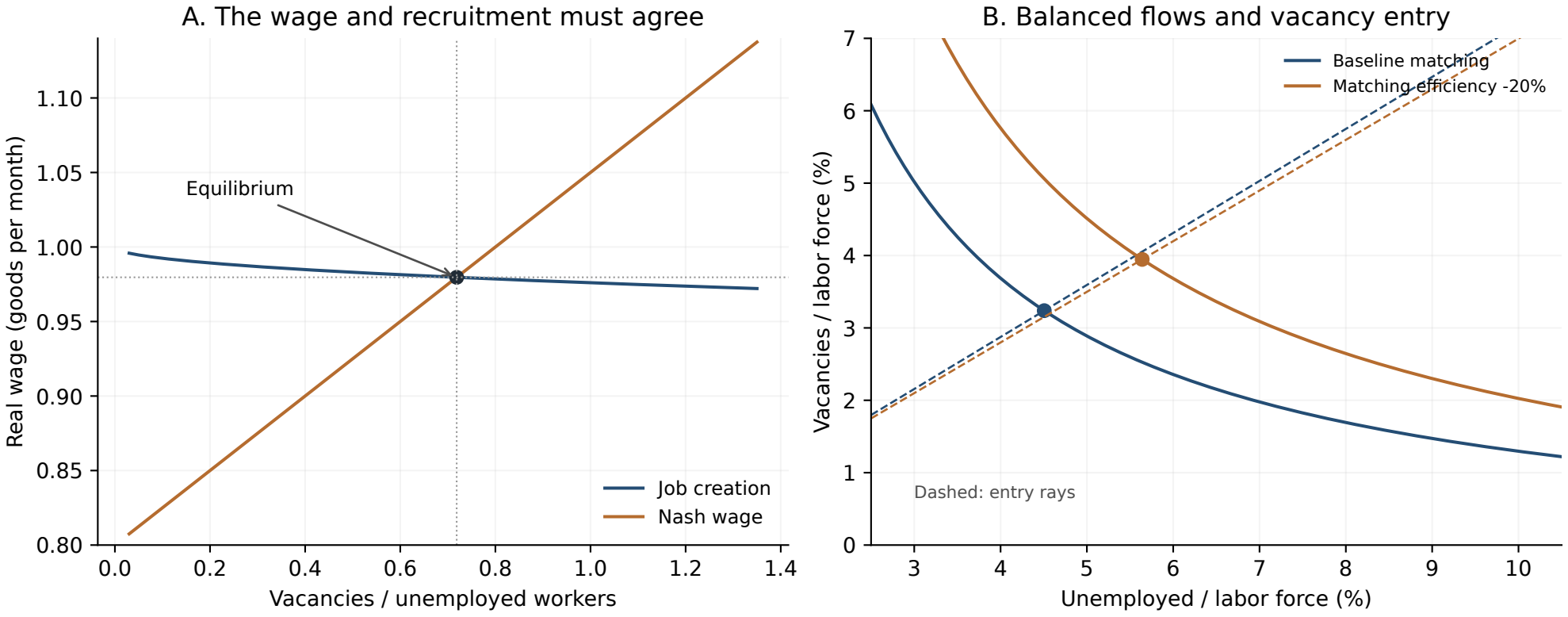
A. The wage and recruitment must agree
Equilibrium
Job creation
Nash wage
Real wage (goods per month)
Vacancies / unemployed workers
B. Balanced flows and vacancy entry
Baseline matching
Matching efficiency -20%
Dashed: entry rays
Vacancies / labor force (%)
Unemployed / labor force (%)